

Q 1. The full form of AMFI is _____ .

Association of Mutual Funds of India
Association of Money lenders and Financiers of India
Association of Micro-finance Institutions
Association of Mutual Fund Investors
Association of Metal and Ferro of India

 UnAttempted

CORRECT ANSWER:

Association of Mutual Funds of India

Explanation:

AMFI is a nodal association of mutual funds across India. AMFI provides useful knowledge and insights regarding mutual funds and investments.

Q 2. The Free look period is for _____ days from the date of receipt of the policy document under a term insurance policy.

5
7
15
30
45

 UnAttempted

CORRECT ANSWER:

15

Explanation:

If the policyholder feels that:

• the policy does not meet their requirement; or

• the terms and conditions of the policy are not in accordance with what the agent has told them at the time of selling the policy; or

• they are dissatisfied with the service of the insurance company; then they can return the insurance policy within 15 days and ask for a refund of the premium they have paid.

Q 3. Who will have to make an express declaration that no similar claim has been made before any other forum ?

Ombudsman
Insurance Company
Collector
Policy holder
None of the above

 UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

Every claimant before the GRA will be required to make an express declaration that no similar claim has been made before any other forum or tribunal.

Q 4. _____ not be entitled to take either the Sum Assured (SA) or the premium ?

Nominee
Insurer
Claimant
Brokers
Agents

 UnAttempted

CORRECT ANSWER:

Agents

Explanation:

From the above list - Nominee's and Claimant's can get the Sum Assured money, Insurer gets the premium, Brokers also handles clients money, only the Agents can't take money in his account.

Q 5. Revisiting of all charges and limits will not be affected by which of the following behavior of the policy holder ?

Surrender
Lapsation
Discontinuance
Retirement
All of the above

☐ UnAttempted

CORRECT ANSWER:

Retirement

Explanation:

In case of surrender, lapsation and discontinuance - interest, surrender value factor etc will come into play but retirement has nothing to do with the policy.

Q 6. Which are the set of rules and regulations that set the guidelines to effectively address complaints and grievances of policy holders ?

Grievance redressal procedure
Complaints redressal procedure
Complaints handling procedure
Risk grievance procedure
Damage grievance procedure

☐ UnAttempted

CORRECT ANSWER:

Grievance redressal procedure

Explanation:

Grievance redressal procedure – every insurer shall have in place proper procedures and effective mechanism to address complaints and grievances of policyholders efficiently and with speed.

Q 7. _____ would be referred to for various servicing interaction with the insurer and is required at the time of settling claims ?

Proposal Form
Policy bond
Cover note
Policy document
Terms & conditions

☐ UnAttempted

CORRECT ANSWER:

Policy bond

Explanation:

POLICY BOND is a legal document setting out the terms and conditions of the contract.

It is an important document which would be referred to for various servicing interactions with the insurer. It will also be required at the time of settlement of claims on the policy.

Q 8. As per the powers given by the IRDAI Act 1999, the Central Government can supersede the _____ by issuing a notification.

LIC
SEBI
IRDAI

RBI
Commerce Ministry

☐ UnAttempted

CORRECT ANSWER:

IRDAI

Explanation:

If at any time the Central Govt is of the opinion :

That on Account of circumstances beyond the control of the Authority it is unable to discharge the functions or perform the duties imposed on it by or under the provisions of this Act or

That the Authority has persistently defaulted in complying with any direction given by the Central Govt.under this Act

That circumstances exist which render it necessary in the public interest to do so -

The central govt may supercede the Authority and appoint a person to be the Controller of Insurance under section 2 B of the Insurance Act,1938

Q 9. The Prevention of Money Laundering Act (PMLA) rules empower the financial institutions like RBI, IRDA etc. to issue _____ on Anti Money Laundering (AML) and Countering Finance of Terrorism(CFT).

country specific guidance
source specific guidance
subject specific guidance
surcharge specific guidance
sector specific guidance

☐ UnAttempted

CORRECT ANSWER:

sector specific guidance

Explanation:

The PMLA rules empower the financial institutions to issue sector specific guidance on AML & CFT.

Q 10. _____ is not a disclosure norm for ULIP documentation .

Forex remittance on funds
Investment strategy and risk control measures of the fund
Maximum & Minimum percentage of Investment in different type of securities
Definition of all applicable charges
Objectives of the fund

☐ UnAttempted

CORRECT ANSWER:

Forex remittance on funds

Explanation:

Forex remittance is not mentioned in the disclosures.

Q 11. Risk assessment comprises understanding the risks in _____ and _____ .

Customer profile and Agent profile
Insured profile and Product profile
Customer profile and Product profile
Insured profile and Agent profile
Insurers profile and Customer profile

☐ UnAttempted

CORRECT ANSWER:

Customer profile and Product profile

Explanation:

Customer profile and Product profile are important to decide on the extent of caution to be exercised in case of each proposal.

Q 12. Which act prescribes the criteria to define the rules for having a state level insurance appellate tribunal (under section 4[3]).

Contract Act
Administrative Tribunals Act
SEBI Act
IRDAI Act
State Tribunals Act

 UnAttempted

CORRECT ANSWER:

Administrative Tribunals Act

Explanation:

As per Law Commission, it is preferable that there is Insurance Appellate Tribunal (IAT) in each state. However, there can be one IAT for one or more states as may be decided by the Central Govt. or by agreement between State Govts. on pattern of Section 4(3) of the Administrative Tribunals Act 1985.

Q 13. The prime objective of _____ is to give special focus to and overseas insurers comply with IRDAI regulations for protection of policy holders interests etc.

Consumer Affairs Division
LIC
AMFI
Actuary
IGMS

 UnAttempted

CORRECT ANSWER:

Consumer Affairs Division

Explanation:

Consumer affairs division of IRDA focuses on protection of policy holders.

Q 14. GRA will refer the disputes for mediation by a person or body agreed upon were there is no _____, by a person or body nominated by the GRA from a panel prepared by it.

trust
agreement
contract
mutual bond
legal clause

 UnAttempted

CORRECT ANSWER:

agreement

Q 15. The full of 'CARE' is _____ .

Central Aeronautical Research Enterprise
Credit And Revenue Exchange
Commission of Aided Research and Engineering
Credit Analysis & Research Ltd
None of the above

 UnAttempted

CORRECT ANSWER:

Credit Analysis & Research Ltd

Explanation:

Credit Analysis & Research Ltd - CARE Ratings is second-largest among the credit rating agencies in India after CRISIL. CARE's rating businesses can be divided into various segments like for banks, IPO grading and sub-sovereigns.

Q 16. All regular premium ULIPs shall have uniform paying premiums and any additional payments shall be treated as _____ for purpose of insurance cover.

Rider premium
Top Up premium
New premium
Single premium
Lock-in premium

☐ UnAttempted

CORRECT ANSWER:

Single premium

Explanation:

One of the guidelines issued by IRDA for ULIPs is:

All regular premium / limited premium ULIPs shall have uniform / level paying premiums. Any additional payments shall be treated as single premium for the purpose of insurance cover.

Q 17. All top up premiums, irrespective of the amount, offer life insurance coverage _____.

In one fourth the proportion as regular premium
In half the proportion as regular premium
In the same proportion as regular premium
In double the proportion as regular premium
None of the above

☐ UnAttempted

CORRECT ANSWER:

In the same proportion as regular premium

Explanation:

In the year 2010, it was mandated that all top up premiums, irrespective of the amount, shall mandatorily offer life insurance coverage in the same proportion as an ordinary regular premium.

Q 18. Appeal against the District forum award can be made to the State Commission, subject to deposit of _____ of the amount awarded or _____ whichever is less.

50% , Rs 10,000
50% , Rs 15,000
50% , Rs 20,000
50% , Rs 25,000
50% , Rs 30,000

☐ UnAttempted

CORRECT ANSWER:

50% , Rs 25,000

Q 19. _____ risks are covered under annual insurances connected with aircraft hulls, other aviation risks and marine hulls.

Automatic personal accident insurance to passengers
Legal liability to passengers
Marine hulls
Aircraft hulls
All of the above

☐ UnAttempted

CORRECT ANSWER:

All of the above

Q 20. At what frequency is the 'Statement of Investments of Total Assets (General) – Compliance Report ' submitted ?

Monthly
Quarterly
Six monthly
Yearly
As per requirements

❌ UnAttempted

CORRECT ANSWER:

Quarterly

Q 21. _____ have to be deposited to make an appeal in Supreme Court .

- Rs 25000
- Rs 50000
- Rs 75000
- Rs 100000
- Rs 500000

❌ UnAttempted

CORRECT ANSWER:

Rs 50000

Explanation:

To make an appeal in the Supreme Court one has to deposit 50% of the amount awarded or Rs 50000 whichever is less.

Q 22. The Grievance Redressal Authority (GRA) selection committee consists of members of _____ .

- National Councils
- State Councils
- Consumer Councils
- Insurance Councils
- Technical Councils

❌ UnAttempted

CORRECT ANSWER:

Insurance Councils

Q 23. What is the core aspect to determine the extent of required insurance coverage called ?

- Human life value element
- Human life period element
- Human life productivity element
- Net asset life element
- Net asset productivity element

❌ UnAttempted

CORRECT ANSWER:

Human life value element

Explanation:

The human life value concept deals with human capital, which is a person's income potential. It goes beyond just the numbers, and considers the overall impact of losing someone, especially the breadwinner.

Human Life Value' is a methodology used to calculate the amount of funds an individual should set aside for his dependants' future financial security (in case of his sudden demise or physical incapability to earn).

The Human Life Value (HLV) Calculator helps you identify your life insurance needs on basis of income, expenses, liabilities and investments and secure your family's future.

Q 24. The minimum amount of cover in a Term Insurance is _____ .

- Rs 2000
- Rs 3000
- Rs 5000
- Rs 7500
- Rs 10000

❌ UnAttempted

CORRECT ANSWER:

Rs 5000

Q 25. In _____ policy, risk can be assumed if at least the premium is calculated on 75% of the sum assured has been received before assumption of the risk.

- Term Insurance Policy
- Declaration insurance policy
- Marine insurance policy
- Life insurance policy
- All of above

☐ UnAttempted

CORRECT ANSWER:

Declaration insurance policy

Explanation:

Section 59(1) of Insurance Rules states that under Declaration policy premium should be calculated @75%.

Q 26. What will an ULIP contract will clearly specify ? i) Range of each fund and objectives of asset allocation ii) Range of each allocation and objectives of each asset iii) Range of each asset allocation and objectives of each fund

- All statements are correct
- Only statement iii is correct
- Only statement i is correct
- Both statement i and ii are correct
- Both statement ii and iii are correct

☐ UnAttempted

CORRECT ANSWER:

Only statement iii is correct

Explanation:

ULIP contract will specify the various funds offered along with the details and objective of each fund.

Q 27. Employee State Insurance policy is applicable in the areas notified by the Government. The scheme is applicable to _____ .

- All Employees
- Functional Employees
- Industrial Employees
- Workmen
- Government employees

☐ UnAttempted

CORRECT ANSWER:

Industrial Employees

Explanation:

The ESI scheme is applicable to Industrial Employees.

Q 28. The minimum policy term is fixed as ____ years of a life insurance contract to protects its long term nature.

- 1
- 3
- 5
- 7.5
- 10

☐ UnAttempted

CORRECT ANSWER:

5

Explanation:

All limited premium unit linked insurance products other than single products shall have premium paying term of at least 5 years.

Q 29. When are the insurance regulating acts amended ?

Every six months

Every year

When new schemes are introduced in the market

Periodically

As and when required

 UnAttempted

CORRECT ANSWER:

As and when required

Explanation:

Insurance related acts are amended not periodically but as per requirements.

Q 30. _____ non – officials members are allowed in the executive committee for General Insurance council.

1

2

3

4

5

 UnAttempted

CORRECT ANSWER:

1

Explanation:

One non – official, not connected with any insurance business is nominated by the Authority.

Q 31. Where and when was FATF established ?

Geneva - 1989

New York - 1985

Sydney - 1985

Paris - 1989

Paris - 1985

 UnAttempted

CORRECT ANSWER:

Paris - 1989

Explanation:

The Financial Action Task Force (FATF) is an inter-governmental body established in 1989 in Paris on the initiative of G7.

The objectives of the FATF are to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system.

Q 32. The appellate authority constituted by a notification of the Central Govt. was wound up sue to the constitution of _____ .

IRDAI

SEBI

Insurance Appellate Tribunal

Grievance Redressal Authorities (GRA)

Consumer authority

 UnAttempted

CORRECT ANSWER:

Grievance Redressal Authorities (GRA)

Explanation:

GRA replaced the appellate tribunal.

Q 33. Which statement is INCORRECT about IRDAI ?

- IRDAI removes competition in the insurance industry
- IRDAI ensures competence in the insurance industry
- IRDAI makes and amends laws for the insurance industry
- IRDAI works for the interest of policy holders
- IRDAI enforces fair practices in the insurance industry

UnAttempted

CORRECT ANSWER:

IRDAI removes competition in the insurance industry

Q 34. In the Rural Sector, IRDAI regulate percentage of _____ .

- Life insurance and General insurance businesses
- Life insurance and Motor insurance businesses
- Property insurance and General insurance businesses
- Vehicle insurance and General insurance businesses
- All of the above

UnAttempted

CORRECT ANSWER:

Life insurance and General insurance businesses

Explanation:

IRDA regulates life and general insurance percentage to be procured from rural sector.

Q 35. The death benefit at no time will be _____ of the total premium including topups paid.

- Less than 105%
- Less than 115%
- More than 105%
- More than 115%
- Less than 125%

UnAttempted

CORRECT ANSWER:

Less than 105%

Q 36. Insurance GRA will have no jurisdiction in _____ .

- Health insurance
- Life insurance
- Mediclinic insurance
- Personal accident insurance
- Marine insurance

UnAttempted

CORRECT ANSWER:

Marine insurance

Explanation:

The GRA shall have no jurisdiction in cases relating to third party motor vehicle insurance and marine insurance.

Q 37. The minimum amount of cover for health insurance is _____ .

- Rs 5 lacs
- Rs 2 lacs
- Rs 1 lac
- Rs 50000
- Rs 10000

UnAttempted

CORRECT ANSWER:

Rs 1 lac

Explanation:

Under Mediclaim the minimum amount covered is Rs.100000 and under Micro insurance health it is Rs.5000.

Q 38. As per which act can the central Government issue grants to IRDAI after due appropriations are made by parliament ?

Contract Act
PFRDA act
IRDAI act
Insurance act
RBI act

☐ UnAttempted

CORRECT ANSWER:

IRDAI act

Explanation:

The central govt may after due appropriation made by Parliament by law in this behalf, make to the Authority grants of such sums of money as the govt. may think fit for being utilized for the purposes of this Act. There shall be constituted a fund to be called the Insurance Regulatory and Development Authority Fund.

Q 39. When a nomination is cancelled, the rights of the nominee shall be only affected by _____.

Interest of policy holders
Interest of nominees
Interest of insurers
Interest of share holders
Interest of claimants

☐ UnAttempted

CORRECT ANSWER:

Interest of policy holders

Explanation:

When nomination gets cancelled the amount secured by the policy shall be payable to the policyholders.

Q 40. Money launderers tend to seek out _____ & _____ for their operations.

Inventiveness and jointness
Institutes and judiciary
Instances and junctures
Institutions and jurisdiction
Institutions and jurisprudence

☐ UnAttempted

CORRECT ANSWER:

Institutions and jurisdiction

Explanation:

Money laundering can occur practically anywhere in the world.

Generally, money launderers tend to seek out institutions / jurisdictions in which there is a low risk of detection due to weak or ineffective anti-money laundering programmes.

Q 41. The life assured can appoint an appointee to receive policy money on behalf of the _____.

Minor
Major
Disabled
Sub agent
Company officers

☐ UnAttempted

CORRECT ANSWER:

Minor

Explanation:

In case the nominee is a minor, an appointee has to be appointed.

Q 42. In which type of policy / contracts, the policy document contains a schedule showing the details of individuals covered under the group ?

Aviation passenger insurance
Group pension schemes
Marine insurance contracts
Group Micro insurance contracts
Group policies

☐ UnAttempted

CORRECT ANSWER:

Group Micro insurance contracts

Explanation:

In case of group micro insurance contracts, the policy document shall contain a schedule showing the details of individuals covered under the group, and a separate certificate consisting of necessary details shall also be issued to each of the individuals covered under the group insurance.

Q 43. The provision be amended to indicate that except where the endorsement of assignment or transfer is _____ .

Conditional
Unconditional
Contractual
Non-Contractual
Legal

☐ UnAttempted

CORRECT ANSWER:

Conditional

Explanation:

The contingencies under which an assignment or transfer would be treated as a conditional one are to be clearly spelt out. The provision be amended to indicate that except where the endorsement of assignment or transfer expressly indicated as per section 38(7), every assignment or transfer will be deemed to be absolute.

Q 44. Nominations matters were amended under which sections of Insurance Act ?

Section 38
Section 39
Section 40
Section 41
Section 42

☐ UnAttempted

CORRECT ANSWER:

Section 39

Explanation:

Section 39 of the Insurance Act 1938 provides that the policy holder may nominate one or more person. The Law Commission has now recommended that Section 39 be amended to make a distinction between a 'beneficial' nominee and a 'collector' nominee.

Q 45. Which is the IRDAI recognized apex body for all licensed insurance brokers in India ?

CRDEAI
LIC
UTI
New India Insurance Co
IBAI

UnAttempted

CORRECT ANSWER:

IBAI

Explanation:

IBAI – Insurance Brokers Association of India.

Membership - every insurance broker shall confirm that it is a member of the Insurance Brokers Association of India

- Q 46. To register a claim, the claimant has to avail the inhouse mechanism of the _____.
Insurer
Actuary
Managing director
Underwriter
Insurance Brokers

UnAttempted

CORRECT ANSWER:

Insurer

Explanation:

All insurers have an inhouse mechanism to deal with claims.

Every insurer shall inform the insured periodically regarding requirements to be fulfilled by the insured for lodging a claim.

- Q 47. Premium related to all the riders put together cannot exceed _____ of the premium of the main product.
10%
20%
30%

40%
50%

UnAttempted

CORRECT ANSWER:

30%

Explanation:

Under pre-sale stage of an insurance policy, the allowable rider or riders on the product shall be clearly spelt out with regard to the scope of benefits and in no case the premium related to all the riders put together shall exceed 30% of the premium of the main product.

- Q 48. As per IRDAI, how many Micro Insurance schemes are operational in India ?
26
28
35
37
43

UnAttempted

CORRECT ANSWER:

26

- Q 49. Which of these statement(s) is/are inappropriate ? A) Non life insurance helps in the smooth functioning of business trades B) Non life insurance makes life comfortable in old age C) Small business will suffer badly if there is no cover for burglaries , fire, natural calamities etc
Statement A
Statement B
Statement C
Statement A & C
Statement B & C

⊘ UnAttempted

CORRECT ANSWER:

Statement B

Explanation:

Non life insurance is not related to old age. Non life or general insurance is however essential for business ventures.

Q 50. What is the value of services and compensation claimed under National Commission ?

More than 2 crore

More than 1 crore but less than 2 crore

Upto 20 lakh

More than 20 lakh but less than 1 crore

None of above

⊘ UnAttempted

CORRECT ANSWER:

None of above

Explanation:

Jurisdiction of National Commisiion is for original complaint where the value of services and compensation exceeds Rs. 1 crore. (There is no upper restriction of Rs 2 cr)

Out of 50 questions 50 are un attempted.